WTO'S 14TH MINISTERIAL CONFERENCE (MC14) — KEY TAKEAWAYS

International Relations

Why in News?

The 14th Ministerial Conference (MC14) of the World Trade Organization (WTO), held in Yaoundé, Cameroon, ended without consensus. The deadlock primarily arose due to disagreements over the e-commerce moratorium, agriculture subsidies, and transparency rules. India also raised concerns about the potential weaponisation of transparency norms to unfairly target developing countries. As a result, discussions have now been deferred to the next WTO General Council meeting in Geneva.

Key Outcomes of WTO MC14

1. Lapse of E-Commerce Moratorium

The 1998 moratorium, which prevented countries from imposing customs duties on digital goods, expired for the first time in 26 years. This means countries can now theoretically impose taxes on digital transmissions such as software downloads, movies, e-books, and music. This development is significant because developing countries like India and South Africa are seeking greater policy space and additional revenue sources, whereas developed countries like the US and EU continue to advocate for free digital trade.

2. TRIPS Safeguard Lapsed

The protection against non-violation complaints under the TRIPS agreement has come to an end. This safeguard was crucial in protecting public health measures such as compulsory licensing. Its lapse could adversely impact developing countries, as they now lose an important layer of policy protection for medicines and public health programs.

3. Fisheries Subsidies Negotiations Continue

Negotiations aimed at reducing harmful fishing subsidies are still ongoing. While no final agreement was reached at MC14, a conclusive recommendation is expected to be presented at the next Ministerial Conference (MC15).

4. India Opposes China-Led IFD Agreement

India opposed the Investment Facilitation for Development (IFD) agreement, arguing that it could dilute the multilateral principles of the WTO. India also expressed concern that the agreement might expand the WTO's mandate beyond its traditional focus on trade and could restrict the policy space available to developing countries.

5. Plurilateral E-Commerce Agreement Progress

A group of 66 countries, accounting for nearly 70% of global trade, made progress on a plurilateral e-commerce agreement. The discussions focused on key areas such as data flows, online transactions, and consumer protection. However, India is not a part of this agreement.

6. Agriculture Deadlock Continues

The long-standing deadlock on agriculture issues persists. India and several African nations demanded a permanent solution for Public

Stockholding (PSH) and greater flexibility in providing food subsidies. However, developed countries remain unwilling to reduce their own subsidies, and market access barriers continue to exist, preventing any meaningful resolution.

E-Commerce Moratorium — Core Debate

Developed Countries (US, EU)
Developed countries advocate for making the ban on digital taxes permanent. Their position is based on the belief that free digital trade promotes innovation and benefits global technology companies.
Developing Countries (India, South Africa)
Developing countries argue that they are losing billions in potential customs revenue due to the moratorium. They emphasize the need for policy space to nurture domestic digital industries and express concerns about the growing dominance of global tech giants.

India's Concern: Weaponisation of Transparency

What is Transparency in WTO?

Transparency in the WTO framework requires member countries to disclose details related to subsidies, trade policies, and regulations.
US Proposal
The United States has proposed stricter disclosure rules along with penalties for non-compliance.
India's Argument
India contends that many developing countries lack the institutional capacity to meet such stringent requirements. It also warns that these rules could lead to trade retaliation and argues that transparency should be encouraged through support mechanisms rather than punitive measures.

How to Strengthen WTO

1. Protect Special & Differential Treatment (S&DT)

Treaty-based rights that provide special and differential treatment to developing countries must be preserved to ensure fairness in the global trading system.

2. Resolve Agriculture Deadlock

A permanent solution for Public Stockholding (PSH) is essential, along with meaningful reductions in subsidies provided by developed countries.

3. Fair Digital Trade Rules

The e-commerce moratorium should not be made permanent, and developing countries should be supported through technology transfer to ensure equitable participation in digital trade.

4. Restore Dispute Settlement

The WTO's dispute settlement mechanism needs urgent revival, especially since the Appellate Body has been non-functional since 2019 due to the US blocking judicial appointments.

5. Build Political Consensus

There is a need to build broad political consensus among member countries to prevent fragmentation and ensure the stability of the global trade system.

About WTO (Quick Revision)

The World Trade Organization was established in 1995 under the Marrakesh Agreement of 1994 and is headquartered in Geneva, Switzerland. It currently has 166 member countries, accounting for about 98% of global trade. India has been a member since 1995 and was previously part of GATT since 1948.

Major WTO Agreements

The key agreements under the WTO framework include TRIPS, TRIMS, and the Agreement on Agriculture (AoA).

Key Reports

The WTO publishes important reports such as the World Trade Report, the Global Trade Outlook, and the Aid for Trade Report.

SOCIAL MEDIA ADDICTION & CHILD SAFETY — GLOBAL RULING AND INDIA'S REGULATIONS

Governance

Why in News?

A Los Angeles Court in the United States found Meta (Instagram) and YouTube negligent for designing addictive platform features that specifically target children. The court ordered damages of USD 6 million and identified features such as infinite scrolling, algorithm-based recommendations, and autoplay videos as deliberate tools designed to keep children continuously engaged with screens.

What the Meta–YouTube Ruling Means

1. End of "Neutral Platform" Defence

Earlier, platforms claimed that they function merely as intermediaries and are not responsible for harm caused to users. However, courts may now begin to hold platforms liable for the design of their systems itself. This development weakens existing protections such as the US Section 230 and India's Safe Harbour provision under Section 79 of the IT Act.

2. Algorithmic Transparency

Platforms may now be required to conduct design risk assessments, disclose the harmful impacts of their algorithms, and reveal internal research related to addiction. For instance, if companies were aware that Instagram negatively affected teen mental health, this knowledge could now result in legal liability.

3. Radical Platform Redesign for Children

The ruling may push platforms toward significant redesigns aimed at protecting children. Possible changes include removing infinite scrolling, introducing "You're all caught up" notifications, disabling autoplay features, and providing easier logout options. The central objective is to reduce addictive behaviour among young users.

4. Global Regulatory Shift

There is a broader global trend toward stricter regulation of social media platforms. Countries like Australia are considering restrictions for users under 16, while the United Kingdom is experimenting with age-based bans. Courts across jurisdictions are increasingly moving toward holding platforms accountable for their design and impact.

Impact on India

India may gradually shift from a Safe Harbour model toward a product liability framework. Potential developments include stricter accountability under the proposed Digital India Act 2023, holding platforms liable for mental health impacts, and requirements under the IT Rules 2026 to remove harmful AI-generated content within three hours.

India's Legal Framework for Children & Social Media

1. Digital Personal Data Protection Act (DPDP), 2023

The Act defines a child as anyone below 18 years and mandates parental consent for data processing. It prohibits tracking and targeted advertising directed at children and imposes penalties of up to ₹250 crore for violations.

2. IT Rules 2021 (Updated 2026)

These rules require platforms to classify content into categories such as U, U/A 7+, 13+, 16+, and A. They must also provide parental controls, implement age verification mechanisms, and remove harmful content within three hours. The 2026 update further mandates labeling of AI-generated content, referred to as synthetic generated information (SGI).

3. POCSO Act 2012

The Act addresses issues such as online grooming, child sexual abuse material, and mandates reporting obligations for platforms.

4. Juvenile Justice Act 2015

This legislation deals with issues like online child trafficking, digital exploitation, and the luring of children through social media platforms.

5. State-Level Measures

Certain states have proposed additional restrictions, such as Karnataka proposing a ban on social media use for those under 16, and Andhra Pradesh proposing a ban for children under 13. These measures are driven by concerns over digital addiction and mental health risks.

Why Social Media is Risky for Young Users

1. Engineered Addiction

Social media platforms are designed to maximize engagement through features like infinite scrolling, likes, and constant notifications. These mechanisms are rooted in dopamine-driven design and resemble behavioural patterns seen in gambling.

2. Mental Health Issues

Excessive social media use is linked to issues such as body image anxiety, depression, and unhealthy social comparison, with teenage girls being particularly vulnerable.

3. Cyberbullying

Children are exposed to round-the-clock harassment, leading to emotional distress and, in extreme cases, an increased risk of self-harm.

4. Data Exploitation

Children are often unaware of how their data is collected and used, exposing them to privacy risks and potential predatory behaviour.

5. Brain Development Impact

High screen time can disrupt sleep patterns, reduce physical activity, and impair impulse control, affecting overall brain development.

6. Filter Bubble & Radicalisation

Algorithms tend to push extreme content, misinformation, and polarised viewpoints, creating filter bubbles that can influence young users' perceptions and beliefs.

The More You Learn, The More You Earn

www.vedhikiasacademy.org

VEDHIK IAS ACADEMY
The New Learning Mantra

Solutions to Reduce Social Media Harm

1. Parental Measures

Parents should focus on co-viewing rather than outright blocking, engage in discussions about online content, and model healthy screen habits by reducing their own screen time.

2. School Measures

Schools can promote digital literacy, educate students about detecting manipulative design patterns (dark patterns), and implement measures such as phone lockers to limit usage during school hours.

3. Platform Design Changes

Platforms should consider removing infinite scrolling, introducing break reminders, and implementing effective age-gating technologies to limit exposure.

4. Legal Safeguards

Stronger enforcement of laws like POCSO, enhanced child data protection mechanisms, and recognition of rights such as the right to be forgotten are essential to ensure safer digital environments for children.

SIX SIGMA & ELECTRONICS COMPONENT MANUFACTURING SCHEME

ECONOMY

The Union Minister of Electronics and IT issued a stern warning to electronics component manufacturers, stating that incentives under the Electronics Component Manufacturing Scheme (ECMS) may be halted if companies fail to adopt Six Sigma quality standards and implement key reforms. The government emphasized that firms should not rely solely on subsidies but must develop design capabilities and adhere to global-level quality standards.

What is Six Sigma?

Six Sigma is a quality control methodology focused on reducing defects in manufacturing. It follows a data-driven approach aimed at achieving near-perfect production standards.
Target

The methodology targets only 3.4 defects per million opportunities (DPMO), thereby ensuring adherence to global quality benchmarks.

Why Important for Electronics?

Electronics manufacturing demands extremely high precision, and global brands typically require suppliers to meet Six Sigma standards. Without adopting such quality measures, Indian firms risk losing out on global contracts.

Why Government is Pushing Six Sigma?

The government aims to ensure that firms do not merely depend on subsidies but instead evolve into competitive, design-led manufacturers. It

"The moment you give up is the moment you let someone else win."
-Kobe Bryant (NBA legend)

seeks to promote strategic autonomy and enhance global competitiveness. Companies that lack Six Sigma-level quality standards and in-house engineering capabilities may be excluded from receiving incentives under government schemes.

Electronics Component Manufacturing Scheme (ECMS)

The ECMS was launched by the Ministry of Electronics and IT (MeitY) with the objective of building a self-sustaining electronics ecosystem in India and integrating the country into Global Value Chains (GVCs).
Launch & Budget
The scheme was notified in 2025 with an initial outlay of ₹22,919 crore. This allocation was later increased to ₹40,000 crore in the Budget for 2026–27.

Incentive Structure

The scheme provides a mix of turnover-linked incentives, capital expenditure (capex)-linked incentives, and hybrid incentives. Additionally, incentives are also linked to employment generation. The allocation of these benefits follows a first-come, first-served approach. The scheme has a total tenure of six years, including a one-year gestation period followed by a five-year incentive period.

Target Segments

The scheme focuses on sub-assemblies such as camera modules and display units, components like multi-layer PCBs, capacitors, and resistors, and capital equipment including electronics factory machinery. These segments together account for nearly 90% of the mobile phone Bill of Materials (BoM).

Investment & Employment

So far, 75 projects have been approved under the scheme, involving an investment of ₹61,000 crore. The expected output is estimated at ₹10.34 lakh crore. In terms of employment, the scheme is projected to generate around 1.41 lakh direct jobs along with several lakh indirect employment opportunities.

Strategic Goal

The ECMS aims to make electronics the second-largest export sector in India. It envisions a transition from “Assembly in India” to “Make and Design in India,” while also building a strong domestic supply chain. The broader goal is to achieve a $500 billion electronics ecosystem by 2030–31.

Synergy with Other Schemes

The ECMS works in coordination with other major initiatives such as the Production Linked Incentive (PLI) scheme, the India Semiconductor Mission (ISM), and the Modified Electronics Manufacturing Clusters (EMC 2.0). Together, these aim to create a complete and integrated electronics ecosystem in India.

Key Reforms Demanded by Government

1. Quality Upgrade

Companies are required to adopt Six Sigma standards to ensure global quality benchmarks.

2. Design Capability

Firms must invest in in-house research and development along with engineering capabilities.

3. Domestic Supply Chain

There is a strong push to reduce dependence on

“Life should be great rather than long.”
- Dr. B.R. Ambedkar

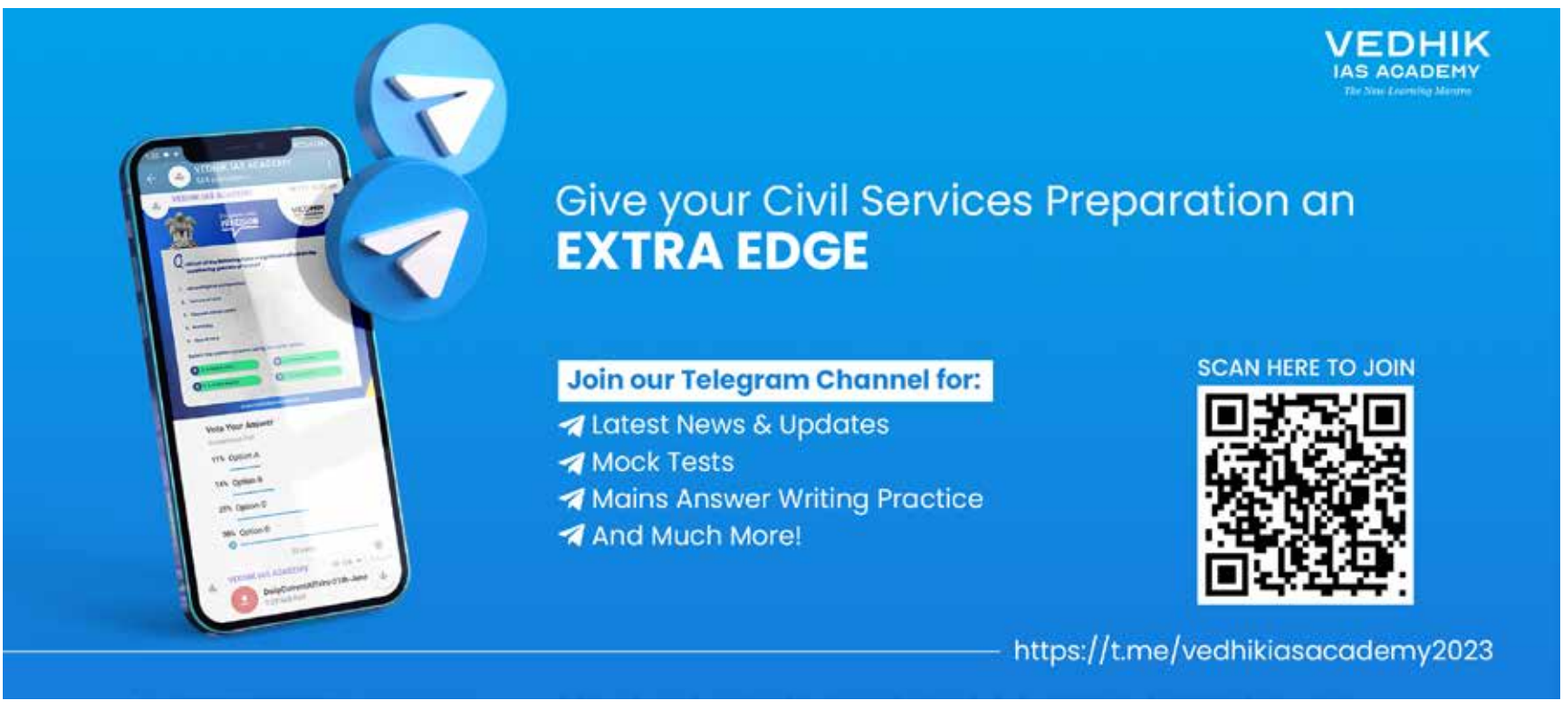
imports by strengthening domestic supply chains.

4. Skill Development

Workforce training and skill enhancement are essential components of the reform agenda.

5. Accountability

Companies must ensure time-bound implementation of reforms, failing which they risk exclusion from incentive schemes.



INDIA'S TOP MOST CIVIL SERVANTS FOR COACHING

VEDHIK IAS ACADEMY

The New Learning Mantra

START YOUR JOURNEY WITH THE BEST

INDIA'S TOP MOST CIVIL SERVANTS FOR COACHING

www.vedhikiasacademy.org

Head Office:
Vedhik IAS Academy
Manar Estate,
MG Road, Ernakulam,
Ernakulam 682035,

Corporate office:
Vedhik IAS Academy
Sambhaji Bhawan, Plot No 1C,
Sector 9A, Near Kitchen Punjab,
New Delhi, Delhi 110022

Regional office:
Vedhik IAS Academy
[illegible] Chambers, [illegible]
Museum Road, Bangalore -
560001, Karnataka, India.

GCC Office:
Bahrain,
Bahrain International Solutions WLL
Office No: 604, Floor 6
Al NAWASHRI BC SUITES WLL
Bldg. 1457, Road 4708, Area 347,
Al Hoora, Manama, Kingdom of Bahrain
www.bahrainsol.com